



Collaboration Becoming Imperative For Electronics Manufacturing Services

The electronics manufacturing services (EMS) market in India will be highly dynamic in the coming year since India promises to emerge as a hotspot for electronics manufacturing among south-Asian nations, owing to such benefits as low operating costs and low competition, which provide ample potential for penetration by OEMs and EMS providers across different sets of verticals



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Import of electronics is the second largest contributor to India's increasing current account deficit, just after crude oil. To make the situation worse, India's electronics imports touched a record US\$ 55.6 billion in FY19, as against US\$ 51.5 billion a year before, and remained the largest driver of its trade deficit after oil, showed the latest official data (Fig. 1).

As per a report by Deloitte Touché Tohmatsu, India's electronics imports could surpass the country's oil imports by 2020 if the trend continues. This surge in imports clearly indicates a huge gap between demand and domestic supply (Fig. 2) and the need for local manufacturing, including electronics manufacturing services (EMS).

Favourable government policies for the domestic manufacture of electronic items have undoubtedly played their part in the rise of local manufacturing, particularly for smartphones, set-top boxes, TVs and other appliances.

This, in turn, offers a huge opportunity for the Indian EMS sector. Over the next five years, accelerated local manufacturing of electronic products to cater to the growing domestic demand will drive the market for the EMS sector in India.

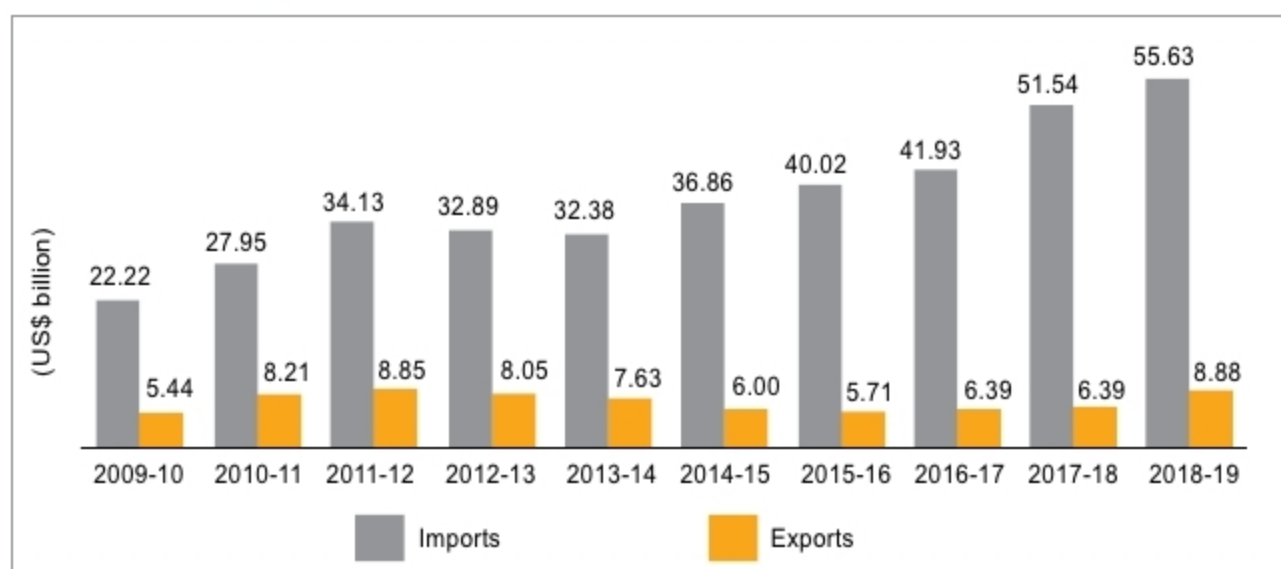


Fig. 1: Electronics item export and import data (Source: DGCIS, Ministry of Commerce, GOI)